

Tax rates on the rich almost everywhere rose to the point where they were no longer productive. As rates rose, the rich ducked. Retired. Or fled. Capital left. People stopped investing. Incomes fell, and tax collections dropped along with them.

Since then, the taxers have become craftier. Art Laffer's curve suggests that there is an optimal rate of taxation, at which point higher or lower rates would bring forth less revenue. Top marginal tax rates have fallen in most of the leading developed economies. The authorities believe they have found the highest rates that do not suppress revenues to the government.

To paraphrase seventeenth-century French economist Jean Baptiste Colbert, collecting taxes is like plucking a goose. The idea is to get the largest number of feathers with the least amount of squawk.

Now efforts are under way—particularly in Europe—to “harmonize” tax rates so that the rich cannot easily flee. This will allow them to get more feathers. There are also efforts afoot in America to raise tax rates on the rich. This is seen as such an unquestionably good thing that some of the richest men in the country have joined the chorus for it. Similar songs are being sung in Europe too—in France, Francois Hollande proposes a 75-percent top rate.

There are two parts to the argument. First, the feds need the money. Second, it is “fair.”

As to the first point, most people would find nothing to dispute. The governments of almost all the developed countries are deeply in debt. As populations age and economies weaken, they will not be able to provide the health, pension, education, and security benefits that have been promised unless they can find another source of revenue.

The answer to that argument is twofold. First, as we have seen, tax rates may already be at optimal levels. Increasing taxes on the rich—the people whose money creates new businesses and new jobs—is likely to be counterproductive. Second, will the world be a better, or a worse, place if the feds get more money? Well, strictly in material terms, it will almost certainly be a worse place, not a better one. It is made a better place (again, we are talking about only material things) when resources are used wisely and well.